

REGULATION

It is important for the insurance industry to be well regulated in order for it to work properly.

Regulators monitor the insurance industry to make sure that insurers can pay claims made by insureds. They require insurance companies to buy their own insurance—called reinsurance—to ensure they can meet their financial liabilities in full.

This covers the insurance companies' own risks so that if, for example, they have a lot of claims at once, or if one client has a huge and unexpected loss, they can afford to pay without experiencing financial difficulties.



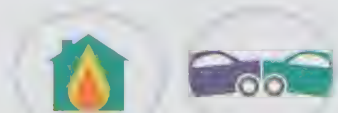
NEED TO KNOW

- **Premium** The amount of money an insurance company charges to provide the cover described in the policy or bond.
- **Excess** The financial contribution the customer must bear on an insurance premium.
- **Surplus** Insurance companies are required to hold a surplus in reserve.
- **Profit** The return received by insurers from the growth and interest on their investments, or by selling insurance to customers at the right price, or by having few claims.
- **Loss** A result of not charging enough in premiums, a fall in the price of investments, or by having large claims to pay out to customers.
- **Investment portfolio** A collection of assets bought with the money insurance companies receive from premiums. Portfolios make money from interest, dividends, and capital gains on trade stocks.
- **Investment income** The income an insurance company receives from the investment of premiums and reserves.
- **Policy** The contract between an insurance company and its customer.



CLAIMANTS

If an adverse event happens to a claimant, they receive monetary compensation from the insurance company. As part of the contract between the insurer and the insured, all risks must be disclosed at the start of the policy or a claim may be invalid.



Pooled premiums

The insurance company pools the receipts from premiums, investing the premiums in the expectation of making money from investment returns. It pays out in the event of a claim.



PAYOUTS

As not all customers will experience an adverse event, the insurance company can afford to pay those that make a valid claim.